12_Treasury_Cash_Management

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Document Hierarchy

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Level 1 - Policy
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L_0_12_Treasury_Cash_Management Policy & Procedures Manual
(Aligned with COSO ERM, ISO 31000, IFRS, and corporate internal control best practices)

12.1 Treasury Governance Policy

Purpose:
Ensure effective liquidity management, financial risk control, banking governance, and capital protection.

Scope:
Applies to all bank accounts, cash holdings, investments, borrowings, guarantees, and financial instruments of RAM.

12.1.1 Treasury Organizational Structure

Roles & Responsibilities

Role	Responsibility
Board	Approve treasury strategy & risk limits
CFO	Treasury oversight & policy approval
Finance Manager	Liquidity planning & execution
Treasury Officer	Daily cash management
Internal Audit	Control assurance
Risk Committee	Monitor financial risk exposure

12.2 Treasury Process Architecture (SIPOC)

Supplier	Input	Process	Output	Customer
Sales	Cash inflow forecast	Consolidate forecast	Cash forecast report	CFO
Procurement	Payment schedule	Plan liquidity	Weekly liquidity plan	Management
Banks	Bank statements	Reconciliation	Bank recon report	Finance
Board	Strategy	Capital allocation	Investment decision	Shareholders

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12.3 Core Treasury Processes (WBS-Coded)

12.3.1 Cash Forecasting Process

12.3.1.1 Monthly Cash Forecast Preparation

12.3.1.2 Rolling 13-Week Cash Flow Model

12.3.1.3 Variance Analysis vs Actual

12.3.1.4 Scenario Stress Testing

KPI

- Forecast Accuracy ≥ 90%
- Liquidity Coverage Ratio ≥ 1.2
- Variance ≤ 10%

12.3.2 Bank Account Management

12.3.2.1 Bank Account Opening Approval

12.3.2.2 Authorized Signatory Matrix

12.3.2.3 Online Banking Control Management

12.3.2.4 Bank Relationship Review (Annual)

Controls

- Dual signature policy
- Segregation of duties
- MFA banking access
- Monthly reconciliation

12.3.3 Payment Authorization & Disbursement

12.3.3.1 Payment Request Submission

12.3.3.2 3-Way Matching (PO–Invoice–GRN)

12.3.3.3 Approval Hierarchy

12.3.3.4 Bank Transfer Execution

12.3.3.5 Payment Confirmation

Approval Limits Matrix (Example)

Amount	Approval Level
< 50,000	Finance Manager
50k–250k	CFO
> 250k	CEO + Board

12.3.4 Investment Management

12.3.4.1 Surplus Identification

12.3.4.2 Risk Assessment

12.3.4.3 Instrument Selection

12.3.4.4 Board Approval

12.3.4.5 Performance Monitoring

Approved Instruments

- Term Deposits
- Government Bonds
- Low-risk Money Market Funds

Investment KPIs

- ROI vs Benchmark
- Capital Preservation Rate
- Portfolio Risk Rating

12.3.5 Debt & Borrowing Management

12.3.5.1 Loan Assessment

12.3.5.2 Bank Negotiation

12.3.5.3 Board Approval

12.3.5.4 Covenant Monitoring

12.3.5.5 Repayment Scheduling

KPI

- Debt Service Coverage Ratio (DSCR) ≥ 1.5
- Interest Coverage Ratio ≥ 3.0

12.3.6 Foreign Exchange (FX) Risk Management

12.3.6.1 FX Exposure Identification

12.3.6.2 Hedging Strategy Approval

12.3.6.3 Forward Contracts / Natural Hedging

12.3.6.4 Monthly FX Position Reporting

Risk Controls

- Open position limits
- Counterparty exposure limits
- Hedge effectiveness testing

12.4 BPMN – Cash Disbursement Workflow (Narrative Flow)

Start → Payment Request → Budget Check → 3-Way Match → Approval Workflow → Bank Transfer → Confirmation → Accounting Entry → Reconciliation → End

(Control gates at budget validation and approval hierarchy)

12.5 RACI Matrix (Treasury Core Processes)

Process	Board	CEO	CFO	Finance Manager	Treasury Officer	Audit
Cash Forecast	I	I	A	R	R	C
Bank Mgmt	I	C	A	R	R	C
Payments	I	C	A	R	R	C

Process	Board	CEO	CFO	Finance Manager	Treasury Officer	Audit
Investments	A	C	R	R	I	C
Borrowing	A	C	R	R	I	C
FX Mgmt	I	C	A	R	R	C

R = Responsible
A = Accountable
C = Consulted
I = Informed

12.6 Treasury Risk Register (Extract)

Risk	Impact	Control	Residual Risk
Liquidity shortage	High	Rolling forecast	Medium
Fraudulent payment	High	Dual control	Low
FX volatility	Medium	Hedging	Medium
Bank failure	Medium	Diversified banks	Low

12.7 SAP / ERP Treasury Modules (If Applicable)

- Cash Positioning Dashboard
- Automatic Bank Reconciliation
- Payment Run Workflow
- FX Exposure Tracking
- Investment Portfolio Monitoring

12.8 Forms & Templates Structure

Code	Form Name
F-12-01	Cash Forecast Template
F-12-02	Bank Account Opening Form
F-12-03	Authorized Signatory Matrix
F-12-04	Payment Request Form
F-12-05	Investment Evaluation Sheet
F-12-06	Loan Evaluation & Covenant Tracker
F-12-07	FX Exposure Report
F-12-08	Weekly Liquidity Dashboard

12.9 Treasury KPIs Dashboard

- Daily Cash Position
- Liquidity Ratio
- Cash Conversion Cycle
- Forecast Accuracy
- Cost of Funds
- Investment Yield
- Bank Fees Optimization Rate

12.10 Internal Controls Framework Alignment

Aligned With:

- COSO Internal Control Framework
- ISO 31000 Risk Management
- IFRS 7 (Financial Instruments Disclosures)
- IFRS 9 (Financial Instruments Measurement)

12.11 Board-Level Treasury Reporting Pack

Monthly Includes:

1. Cash Position Summary
2. 13-Week Forecast
3. Investment Portfolio Status
4. Debt & Covenant Compliance
5. FX Exposure Report
6. Treasury Risk Dashboard

12.12 Treasury Maturity Model

Level	Description
Level 1	Reactive cash management
Level 2	Structured forecasting
Level 3	Risk-managed treasury

Level	Description
Level 4	Strategic capital optimization
Level 5	AI-driven predictive treasury

Next step

- Convert this into **WBS hierarchical coded policy tree**
- Create **Board-grade layered architecture diagram**
- Build **Treasury Governance Risk & Control Matrix (GRC full)**
- Design **BPMN visual process maps**
- Or package into **PPT board presentation format with RAM branding**

Forms and templates

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